HCA Healthcare (NYSE:HCA)

Long Pitch (100.88% Upside, $543.74 Price Target)

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HCA Healthcare Investment Overview

HCA Healthcare

HCA faces pressure from labor and regulatory shifts, remaining resilient with strong growth potential in key markets

The Opportunity

- **Operational Headwinds causing street to underweight KPI tracking**: Recent cyber breaches and natural disasters in core markets have disrupted service and elevated earnings volatility, causing bearish investors to disregard positive industry KPIs
- **Rising nurse and physician wages constrain operating leverage:** Labor intensity is >47% of revenue, *temporarily* eroding incremental margin expansion despite historical efficiencies underpinned by scale in an economic model unique to HCA
- **Strong population growth in key states:** Texas and Florida (CAGR >1.2%), coupled with an aging demographic, drives high-single-digit procedure volume growth, bolstering revenue resilience despite broader macro and structural headwinds
- **Strong demand for ambulatory outpatient care centers**: HCA's higher-margin inpatient revenue base serves as a windfall for strategic CapEx redeployment (~6% of revenue) to outpatient initiatives with the potential to establish a

Investment Thesis

1. HCA's leading presence in the Sunbelt region, America's largest growing market, poises it to capitalize significantly on demand for outpatient services in coming years, bolstered by an aging majority Baby Boomer/Gen X population in need of long-term care
2. The competitive moat presented by HCA's economies of scale has been overlooked by investors, resulting in a significant undervaluation of initiatives such as disaster prevention or talent acquisition; major risks are priced in, but key mitigants are not
3. Street underestimates HCA's diverse payer and geographic mix, a key catalyst to consistent price appreciation that hedges against regulatory risk alongside providing industry-leading growth opportunity in expanding Sunbelt markets Texas & Florida

HCA Healthcare presents an attractive risk/reward at XX NTM EV/EBITDA, with EPS compounding at ~12% annually over next 3YY, driven by a strong payer mix, increasing outpatient revenue, and operational moat

Business Overview

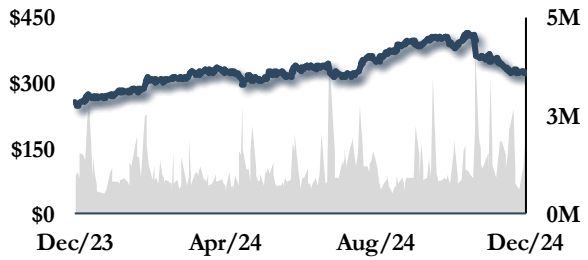
HCA Healthcare

HCA Healthcare, Inc. is a leading operator of hospitals and healthcare facilities across the U.S. and the U.K.

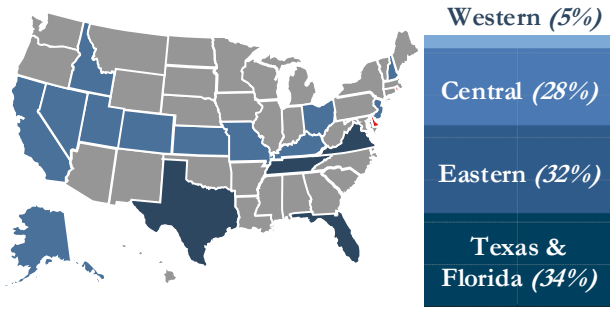
Business Overview

- Founded in 1968, HCA, headquartered in Nashville, Tennessee, operates as one of the largest for-profit healthcare providers.
- Handling over **43 million patient** encounters annually, HCA Healthcare owns and operates 188 hospitals, 123 freestanding outpatient surgery centers, and a network of physician offices, urgent care clinics, and emergency rooms across 20 U.S. states and the UK.
- HCA generates revenue from inpatient and outpatient services, physician care, and specialized treatments, funded by private insurance, Medicare, Medicaid, and patient payments, with performance driven by patient volume and payer rates.

52-Week Stock Chart

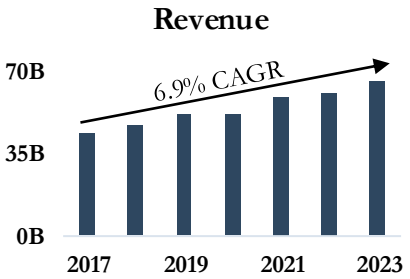


Operating States



Key Financials & Revenues by U.S. Region

Ticker	NYSE: HCA
Share Price	$302.15
Enterprise Value	$122.99B
Market Cap	$80.99B
LTM EV/EBITDA	8.78x



Timpani	Augmedix Go	Nurse Handoff	SCTCT Network
Clinical labour management platform	Documentation tool for capturing visit conversations	AI-driven technology with Google Cloud to auto-generate reports	Largest cellular therapy network for blood cancers

Sources: Company Filings, Capital IQ, Tradingview

I.

Business Overview & Analysis

Internal Analysis: Management and Ownership

HCA Healthcare

HCA holds many advantages which make it a strong player in the industry

Leadership

Sam Hazen

CEO of HCA Healthcare

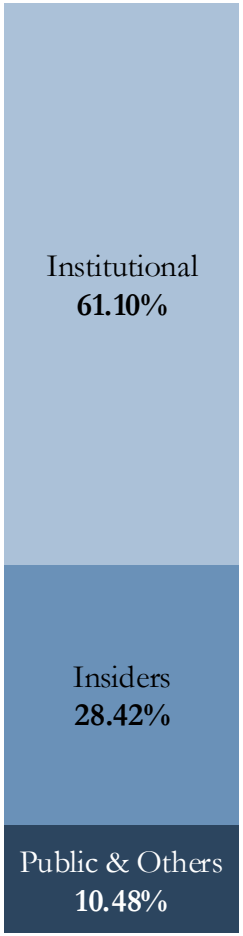
(0.52% Ownership of HCA)

Sam Hazen, CEO since 2019, brings over 36 years of operational and financial expertise to the company, overseeing one of the nation's largest healthcare providers with 179 hospitals and 2,000 care sites, delivering 5% of all U.S. hospital services.

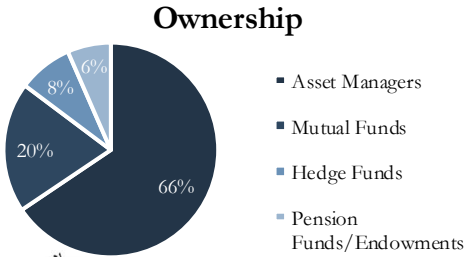
Business Efficiency

HCA's focus on business efficiency is evident through strong workforce retention, significant investments in employee training, and a growing talent pipeline. These efforts help maintain operational strength and support long-term growth.

Ownership



Top Holders	Ownership %
The Vanguard Group, Inc.	6.32%
BlackRock, Inc.	6.11%
Sanders Capital	4.56%
State Street Corporation	3.28%
Wellington Management	2.78%
First Eagle Investment Management	1.77%



Sources: Company Filings, Capital IQ, Forbes, Yahoo Finance

External Analysis: Competitive Landscape & Trends

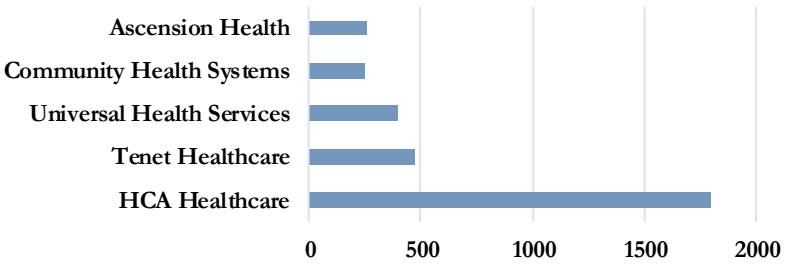
HCA Healthcare

Competitive Strengths Driving Sustainable Growth

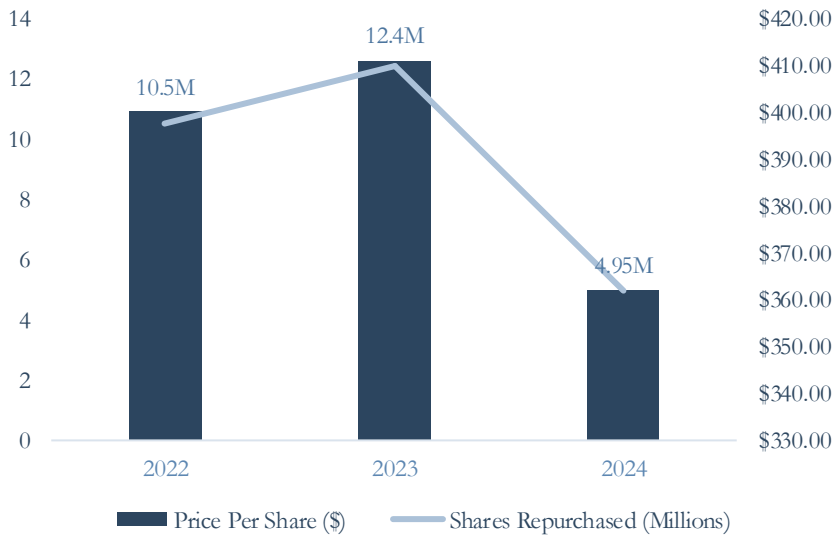
Scale Creates Overlooked Strategic Advantages

HCA Healthcare's large network of 1,800+ facilities enables cost efficiencies, favorable supplier negotiations, and significant regulatory compliance investments, creating a competitive advantage.

Facility Comparison: HCA vs Competitors



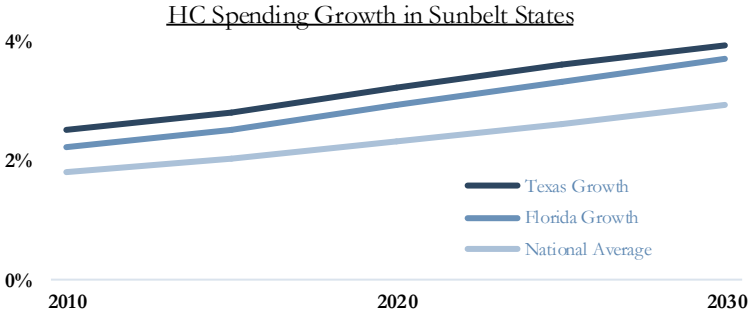
Meaningful Buybacks



HCA's significant buybacks demonstrate confidence in business fundamentals and a commitment to shareholder returns.

Geographic and Payer Diversity as a Growth Catalyst

HCA's strategic presence in Texas and Florida, combined with a diverse payer mix, drives revenue growth and mitigates regulatory risk, capitalizing on demographic trends and rising healthcare demand.



Sources: Company Filings, Capital IQ, Tradingview

External Analysis II.

HCA Healthcare

Comparable Companies Overview

	Target	Impact on HCA	Key Differentiator	Growth Potential
Big Players	Broad geographic presence and dominance in acute care and specialty services.	Forces HCA to expand service offerings and strengthen its competitive positioning in urban markets.	Established scale and strong payer relationships.	Moderate: Expansion relies on acquisitions and market saturation in established regions.
Mid-Market	Focused on affordability and regional accessibility in rural and suburban areas.	Challenges HCA to expand into smaller markets and maintain cost-efficiency to compete effectively.	Cost-effective models and localized care delivery.	High: Growing demand for affordable care in underserved areas provides significant expansion opportunities.
Start-Ups	Technology-driven models and value-based care tailored to specific demographics like Medicare patients.	Pressures HCA to integrate digital health solutions and adopt patient-centric care models to retain market share.	Digital-first approach with emphasis on convenience.	Very High: Rapid adoption of digital health and value-based care offers scalable growth in emerging markets.

Sources: Capital IQ, Deloitte, Persistence Market Research, Morningstar Research, Yahoo Finance

II.

Thesis

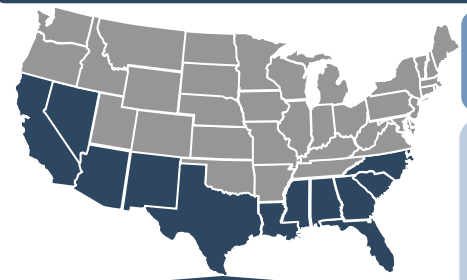
Thesis I: Expanding Markets Lead to Bullish Base Case for HCA

HCA Healthcare

An aging and growing U.S. populace is driving demand for healthcare, migrating to key states where HCA operates

Sunbelt Migration

HCA's extensive presence positions it to capture a 5-8% annual increase in admissions across 2,500+ care sites, driving revenue growth



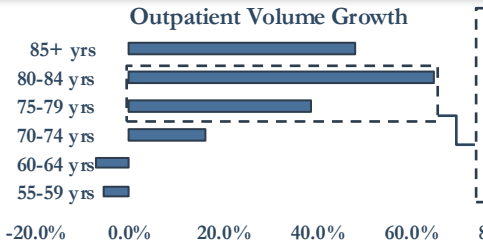
The Sunbelt now holds over 50% of America's age 65-plus cohort

A 2024 Nucleus study quantifies BETI's value:

Pollution levels in the Sun Belt, including a 15% rise in PM2.5 over L10Y, are driving increased recurring illnesses, particularly in markets like Texas (43 hospitals) and Florida (50+ hospitals), boosting demand

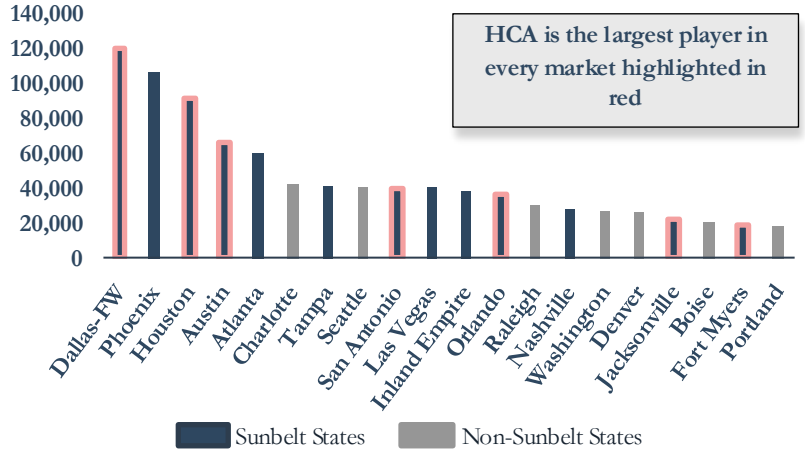
Expanding Outpatient Demand

HCA's increasing focus on outpatient services, which currently represent ~35% of total revenue, aligns with trends in key high-growth states, supporting 12% EPS CAGR projections over N3Y, outpacing peers significantly



'Baby Boomer' generation (U.S.' most populous group), is nearing the fully 70+ age range, driving current demand & strong projections for generation X, who are cognizant of outpatient care options that yield **higher margins** for HCA

HCA in Nominal Pop. Growth Areas



HCA is the largest player in every market highlighted in red

Projected Growth Isn't Accurately Priced In

Across Texas & Florida, HCA's biggest markets:

15.3%	25%	2.1
YoY growth in population	of residents will be over 65 by 204	Beds per 1000 citizens, 27% below national avg.

HCA is poised to grow significantly simply to meet already existing demand

Street underestimates the benefits of HCA's leading sunbelt presence, and has not priced in growth of outpatient demand

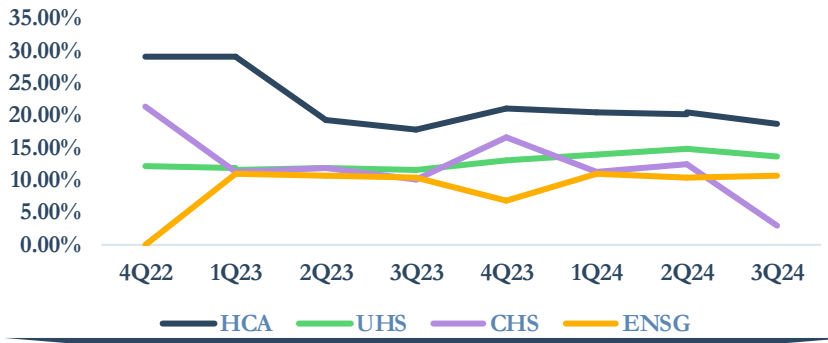
Sources: CDC.gov, HCA Investor Relations, U.S. Census

Thesis II: Operational Ability Provides Agility & Competitive Moat

HCA Healthcare

HCA's superior margins and scale-based moat result in an agile business ready to efficiently deploy capital

HCA has a leading EBITDA margin of ~19%, compared to the industry average of ~14% and~15% for the market

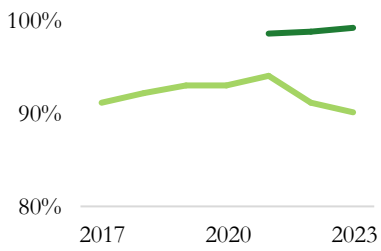


Resultant high FCF supports investments in outpatient & specialty care with tech advancements, securing long-term profitability.

HCA has invested considerable resources into employee retention, reducing turnover by 46%

HCA has been able to provide attractive compensation packages at a comparatively lower price to peers by focusing on minimizing turnover

New Talent Acquisition Spend



HCA has acted decisively in the face of threats…

- **3Q23** — HCA experiences a critical data breach affecting 11 million patients
- **3Q24** — Hurricanes make landfall, losing HCA between $200MM-$300MM
- **3Q24** — Mgmt. expresses interest in capitalizing on BETI's pricing power and industry status in the future

HCA's margins and FCF provide the financial flexibility to invest in disaster-resilient infrastructure and advanced supply chain systems at a rate higher than competitors

…but street overlooks this, believing that HCA will not be able to overcome risk factors plaguing the Hospital industry at large; leaving HCA's mitigant abilities not priced into current share price

Based on conservative estimates of patient volume growth and outpatient service expansion, even as little as a **0.25%** annual improvement in EBITDA margin from 2025–2029 cumulatively leads to **$1.5 billion** in new contributions achieved through operational moat. For reference, 2023 revenue was $60 billion, and the EBITDA margin was 19%.

A 0.25% margin improvement is nearly imperceptible operationally but made possible by HCA's operational excellence, workforce stability, and extensive service network.

Based on the pricing power of new services and operational efficiencies alone, this strategy will more than offset potential revenue losses from payer mix shifts or natural disaster impacts by 2027—full breakdown in appendix.

Despite short-term turmoil, HCA holds strategic power and will meet growth targets through continual leverage of operational excellence

Sources: Company Filings, Nucleus Research, Capital IQ

Thesis III: HCA is Safeguarded Against Regulatory Changes

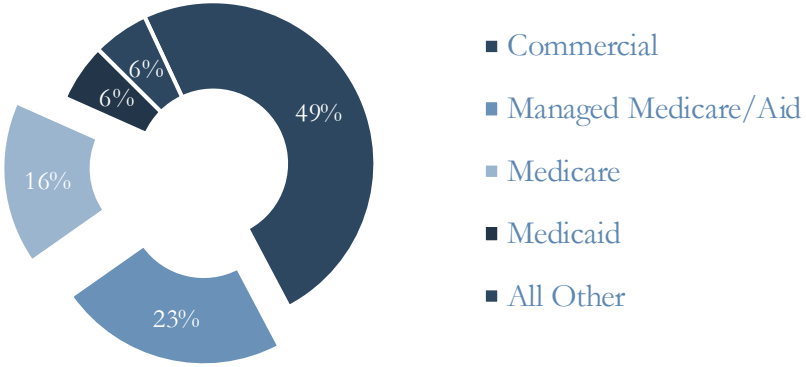
HCA Healthcare

Street underestimates HCA's diverse payer and geographic mix, a key catalyst to consistent price appreciation

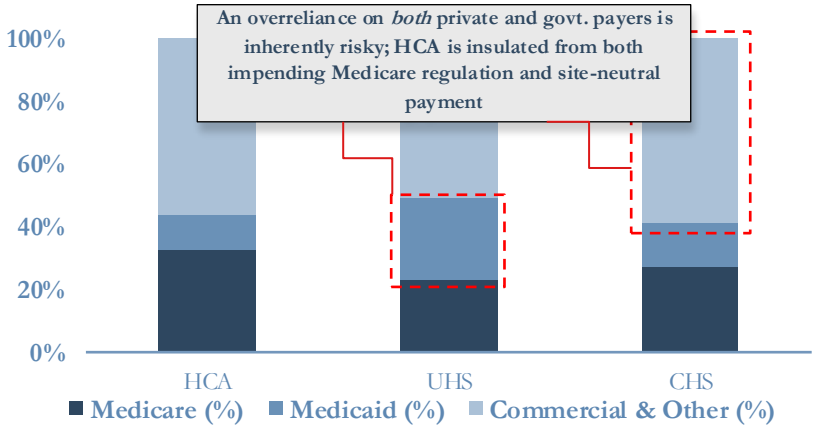
Revenue Diversification and Regulatory Resilience

- By balancing revenues across private insurance (49%), Medicare (23%), and Medicaid (16%), and uninsured patients (8%), HCA reduces dependence on any revenue stream; providing stability against policy change, particularly government reimbursement rates
- State-by-state diversification hedges against risks present from changes in state legislation while enjoying the benefit of shifting resource allocation to high growth areas, HCA is uniquely positioned due to strong geographical diversification and tailwinds from population growth in existing markets
- Distribution allows HCA to insulate itself against measures such as ACA expiration and site-neutral, state directed payment
- HCA has invested over $600 million in compliance infrastructure and systems, ensuring adherence to key regulation, with over 96% of facilities achieving compliance with value-based care mandates, HCA reduces exposure to penalties and regulatory disruptions

HCA's Payer & Insurance Distribution



HCA & Competitor Payer Mix



Sources: Yahoo Finance, Wall Street Journal

III.

Valuation

Valuation: Discounted Cash Flow

HCA Healthcare

Revenue and Expense Projection

Revenue and Expense Projection

Income Statement	Units	Actual			Projected				
Fiscal Year Ended December 31		2021A	2022A	2023A	2024E	2025E	2026E	2027E	2028E
Revenues									
Managed care and insurers	[$B]	30.30	29.12	31.82	34.80	38.10	41.74	45.78	50.25
Medicare	[$B]	10.45	10.45	10.59	10.74	10.90	11.08	11.27	11.47
Managed Medicare	[$B]	8.42	9.20	10.50	11.98	13.69	15.66	17.93	20.54
Managed Medicaid	[$B]	3.12	4.00	3.88	3.77	3.66	3.56	3.47	3.39
Medicaid	[$B]	2.29	2.64	3.61	4.94	6.76	9.27	12.72	17.47
Other	[$B]	2.84	3.51	3.07	2.69	2.36	2.07	1.82	1.60
International (managed care and insurers)	[$B]	1.34	1.32	1.51	1.73	1.99	2.28	2.62	3.02
Operating Expenses									
Cost of Goods and Services	[$B]	9.48	9.37	9.90	10.47	11.09	11.75	12.46	13.23
Wages and Salaries	[$B]	26.78	27.69	29.49	31.44	33.54	35.83	38.30	40.99
Other Operating Expenses	[$B]	9.96	11.16	12.88	14.87	17.20	19.90	23.05	26.72
Depreciation and Amortization (D&A)	[$B]	2.85	2.97	3.08	3.19	3.31	3.45	3.58	3.73
Total Operating Expenses	**[$B]**	**22.28**	**24.04**	**25.85**	**28.04**	**30.64**	**33.72**	**37.33**	**41.55**
EBIT	**[$B]**	**-13.85**	**-14.84**	**-15.36**	**-16.05**	**-16.95**	**-18.06**	**-19.40**	**-21.00**

Capital Expenditures	Units	Actual			Projected				
Fiscal Year Ended December 31		2021A	2022A	2023A	2024E	2025E	2026E	2027E	2028E
Capital Expenditure	[$B]	3.58	4.40	4.74	5.13	5.54	6.00	6.50	7.05
Depreciation & Amortization (D&A)	[$B]	2.85	2.97	3.08	3.19	3.31	3.45	3.58	3.73

Net Working Capital	Units	Actual			Projected				
Fiscal Year Ended December 31		2021A	2022A	2023A	2024E	2025E	2026E	2027E	2028E
Net Working Capital	[$B]	3.96	3.74	2.27	2.27	2.27	2.27	2.27	2.27

Unlevered Free Cash Flow	Units	Actual			Projected				
Fiscal Year Ended December 31		2021A	2022A	2023A	2024E	2025E	2026E	2027E	2028E
NOPAT	[$B]	7.87	8.81	10.17	11.75	13.58	15.72	18.21	21.11
Add: Depreciation & Amortization (D&A)	[$B]	2021A	2022A	2023A	2024E	2025E	2026E	2027E	2028E
Less: Capital Expenditures	[$B]	-3.58	-4.40	-4.74	-5.13	-5.54	-6.00	-6.50	-7.05
Less: Change in Net Working Capital	[$B]		.22	1.47	.89	.54	.33	.20	.12
UFCF	**[$B]**	**6.92**	**5.94**	**7.41**	**7.39**	**8.04**	**9.42**	**11.67**	**15.03**

Sources: Capital IQ

Valuation: Discounted Cash Flow

HCA Healthcare

WACC and Sensitivity

WACC & Sensitivity Analysis

DISCOUNTED CASH FLOW	Units	Actual			Projected				
Fiscal Year Ended December 31		2021A	2022A	2023A	2024E	2025E	2026E	2027E	2028E
UFCF	[$B]				7.39	8.04	9.42	11.67	15.03
Periods	[#]				1	2	3	4	5
Discount Factor	[#]				0.92	0.85	0.78	0.72	0.66
Present Value of UFCF	**[$B]**				**6.80**	**6.81**	**7.35**	**8.37**	**9.92**
Terminal Value	[$B]								230.20
Present Value of Terminal Value	**[B]**								**151.97**

Enterprise Value Bridge	
	39.25
Present Value of UFCF	151.97
Present Value of Terminal Value	
Enterprise Value	191.22
Less: Debt	-41.86
Add: Cash	.94
Equity Value	150.30
Shares Outstanding	.28
Implied Share Price	$ 543.74
Current Share Price	$270.68
Implied Upside	100.88%
Implied Exit Multiple	8.59x

WACC	
Risk-Free Rate	4.47%
Market Risk Premium	4.06%
Beta	1.67
Cost of Equity	**11.25%**
Cost of Debt	5.10%
Tax Rate	21.0%
After-Tax Cost of Debt	**4.03%**
Total Debt	41.86
Market Capitalization	74.82
Share Price	$270.68
Shares Outstanding	.28
% Debt	**35.88%**
% Equity	**64.12%**
WACC	**8.66%**

Sensitivity Analysis

Terminal Growth Rate	WACC 6.7%	7.7%	8.7%	9.7%	10.7%
1.0%	160.7%	110.0%	72.6%	44.0%	21.4%
1.5%	187.2%	128.2%	85.8%	53.8%	28.9%
2.0%	219.5%	149.6%	100.9%	64.9%	37.4%
3.0%	310.5%	206.3%	139.1%	92.2%	57.6%
3.5%	377.6%	244.9%	163.8%	109.1%	69.8%

Sensitivity Analysis

Terminal Growth Rate	WACC 6.7%	7.7%	8.7%	9.7%	10.7%
1.0%	$706	$568	$467	$390	$329
1.5%	$778	$618	$503	$416	$349
2.0%	$865	$676	$544	$446	$372
2.5%	$973	$745	$591	$481	$398
3.0%	$1,111	$829	$647	$520	$427

HCA Healthcare current valuation presents **attractive upside potential**, even with conservative base assumptions.

Sources: Capital IQ

Risks, Mitigations, & Catalysts

HCA Healthcare

HCA Healthcare's strategies to mitigate risk ensure continued operational resilience and long-term profitability

Major Risks & Respective Mitigants

Regulatory Pressure	Constricted Labor Market	Operational Risks
Changes in regulations, such as adjustments to government reimbursement rates, could affect HCA's revenue streams and hamper priced in growth projections	The healthcare industry is experiencing major labor shortages, leading to significantly increased labor costs, and highly damaging impacts on outpatient care quality	HCA has proven vulnerable to operational risks such as natural disasters and cybersecurity attacks in the past, causing apprehension on growth targets from the Street
HCA is addressing this risk by expanding managed care networks and negotiating long-term agreements with payers to stabilize reimbursement rates while continuing to diversify revenue streams	HCA implements competitive compensation and partners with educational institutions to develop a robust pipeline of professionals, aiming to alleviate staffing challenges	HCA is leveraging moat to develop disaster response, doubling cybersecurity spend. HCA is also providing a fund to employees in areas afflicted by natural disasters, to continue operations

Growth Catalysts

HCA plans to build new hospitals in key markets, including Texas and Florida, to increase patient access and grow market share in high growth regions	Collaborations with companies like Google Cloud aim to integrate AI into healthcare delivery, enhancing operational efficiency and patient care.	HCA is investing in outpatient facilities and urgent care clinics to meet demand for convenient, cost-effective care, capturing a growing market segment

Yahoo Finance, Mergent Investext. Barron's, The New York Times